PMT FUNCTION

The PMT Function, also called the **Payment** Function, is a financial function used in Excel to carry out calculations on loan or investment payments continuously implemented with a fixed interest rate.

The PMT Function syntax is as follows:

PMT(rate,nper,pv,[fv],[type])

The following are the PMT Function arguments:

- **Rate** – this argument *is required* to determine the *interest rate of the specific loan.*
- **Nper** – this argument *is required* to determine the *cumulated number of payments for the acquired loan.*
- **PV** – this argument *is required* to determine the *current value* or *principal of the acquired loan.*
- **FV** – this argument *is optional but used* to determine the *future value of the acquired loan* OR *the cash balance you want to achieve after all the outstanding amount* is paid.

If you omit this argument, Excel will assume the FV value to be 0, meaning you intend to pay for the loan ultimately, so the Future value of the acquired loan equals 0.

- **Type** – this argument is optional but used to specify when the payments will be due. If omitted, Excel will assume the Type value to be zero. If the Type value is 1, it means you will be making payments at the